

Executive Memo

To: Executive Leadership Team

From: [Your Name/Department]

Date: October 26, 2023

Subject: Digital Marketing Performance Review and Strategic Recommendations

****1. Context & Question****

This memo reviews recent digital marketing performance to identify optimal strategies for customer acquisition and revenue growth. Our central question is: ****Given current performance data, what are the key insights and strategic recommendations to optimize marketing spend and drive immediate, impactful growth?****

****2. Data-Backed Insights****

Our analysis highlights key performance indicators:

- * ****Google Ads Outperformance:**** Google Ads leads with a ROAS of 2.54 (\$1590 revenue / \$625 spend) and a CPA of \$23.15 (27 conversions / \$625 spend). Meta Ads trails with a ROAS of 2.08 (\$1090 revenue / \$525 spend) and a CPA of \$25.00 (21 conversions / \$525 spend).
- * ****Product B's Higher Value:**** Product B generated \$4340 from 124 units, yielding higher revenue per unit (\$35) compared to Product A's \$4260 from 213 units (\$20 per unit). This suggests greater profitability potential for Product B.
- * ****Meta Ads Efficiency Gap:**** Despite a slightly lower CPC (\$1.87 vs \$1.98), Meta Ads' lower conversion rate results in inferior overall efficiency.
- * ****Regional Sales Variation:**** Product A sells in North and South regions; Product B in North and East, indicating distinct market opportunities.

****3. Options Considered****

We evaluated three strategic options:

- * ****1. Scale High-Performing Google Ads with Product B Focus (Recommended):**** Increase investment in Google Ads, specifically for Product B campaigns.
 - * ***Pros:** Leverages most efficient channel (Google Ads) and highest revenue-per-unit product (Product B) for immediate, profitable growth.
 - * ***Cons:** Increases reliance on a single ad channel; potential for diminishing returns.
- * ****2. Optimize Underperforming Meta Ads & Diversify Product Campaigns:**** Improve Meta Ads efficiency through testing and balance promotion of both products.
 - * ***Pros:** Reduces single-channel risk, diversifies marketing efforts, and could unlock new segments.
 - * ***Cons:** Resource-intensive with uncertain ROI; slower immediate revenue impact.
- * ****3. Strategic Regional Product Expansion:**** Expand Product A into new South/East regions and Product B into new South/West regions.
 - * ***Pros:** Taps new markets, diversifies revenue geographically.
 - * ***Cons:** High upfront costs, market uncertainty, longer ROI.

****4. Recommended Decision & Why****

Our recommended decision is to ****Scale High-Performing Google Ads with a dedicated Product B Focus.****

This decision is driven by clear data showing Google Ads as our most efficient acquisition channel and Product B as our highest revenue-per-unit product. Doubling down on these proven strengths offers the most direct and efficient path to maximize immediate revenue growth and improve overall marketing efficiency. While diversification is a long-term goal, prioritizing immediate, impactful returns from our strongest assets is critical now.

****5. Execution Plan (7-day summary)****

The immediate 7-day plan targets rapid scaling and optimization of Product B on Google Ads:

- * ****Day 1:**** Strategic Alignment & Budget Allocation (Google Ads budget increase for Product B by 20-30%).
- * ****Day 2:**** Google Ads Optimization (Refine keywords, audiences, ads for Product B).
- * ****Day 3:**** Landing Page Audit & A/B Testing (Optimize Product B landing pages for conversion).
- * ****Day 4:**** Initial Performance Monitoring (Daily review of Product B Google Ads metrics).
- * ****Day 5:**** Stakeholder Sync (Gather sales/product feedback, assess inventory).
- * ****Day 6:**** Refinement & Adjustments (Implement minor campaign tweaks based on monitoring).
- * ****Day 7:**** Weekly Review & Next Steps (Compile report, plan for next week).

****6. Risks, Dissent & Mitigation****

****Key Risks:****

- * ****Limited Data Scope:**** Data covers only 5 days, potentially missing trends or seasonality.
- * ****Channel Over-reliance:**** Increased dependency on Google Ads.
- * ****Profitability Blind Spot:**** Lack of product cost data prevents true profitability assessment.
- * ****Inventory Constraints:**** Aggressive scaling could strain Product B inventory.

****Potential Dissent:**** Some may advocate for immediate Meta Ads optimization or diversification. Our stance is to first maximize proven ROI to fund future expansion.

****Mitigation:****

- * ****Continuous Monitoring:**** Daily/weekly reviews to detect diminishing returns and adjust budgets incrementally.
- * ****Future Diversification:**** Begin planning for Meta Ads optimization and broader regional expansion for Q1 next year.
- * ****Data Enhancement:**** Prioritize obtaining COGS and CLTV data for better future analysis.
- * ****Supply Chain Coordination:**** Maintain close communication with supply chain on Product B demand.

****7. How Success Will Be Measured****

Success will be measured by:

- * ****Weekly Google Ads ROAS (Product B):**** Target sustained ROAS above 2.5x, aiming for 3.0x+.
- * ****Product B CPA:**** Seek maintenance or decrease below \$23.00.
- * ****Overall Revenue Growth:**** Track direct Product B revenue contribution from Google Ads and its impact on total company revenue.
- * ****Conversion Rate:**** Monitor Product B landing page conversion rates.

Performance will be monitored daily via dashboards, with weekly deep-dive reports and monthly strategic reviews. Early warning signals (e.g., 3-day ROAS decline below 2.0x, >15% weekly CPA increase) will trigger

immediate re-evaluation and adjustments.

Analysis Summary

```
{
  "key_metrics": [
    {
      "name": "Google Ads ROAS",
      "reason": "Google Ads generated $1590 revenue on $625 spend, resulting in a ROAS of 2.54."
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    {
      "name": "Meta Ads ROAS",
      "reason": "Meta Ads generated $1090 revenue on $525 spend, resulting in a ROAS of 2.08."
    },
    {
      "name": "Google Ads CPA",
      "reason": "Google Ads achieved 27 conversions on $625 spend, resulting in a CPA of $23.15."
    },
    {
      "name": "Meta Ads CPA",
      "reason": "Meta Ads achieved 21 conversions on $525 spend, resulting in a CPA of $25.00."
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    {
      "name": "Product B Revenue vs. Product A Revenue",
      "reason": "Product B generated $4340 in revenue from 124 units, while Product A generated $4260 from 213 units, indicating higher revenue per unit for Product B."
    }
  ],
  "insights": [
    "Google Ads significantly outperforms Meta Ads in terms of Return on Ad Spend (ROAS 2.54 vs 2.08) and Cost Per Acquisition (CPA $23.15 vs $25.00), makin
    ...
    [truncated]
```

Options

```
[
  {
    "name": "Scale High-Performing Google Ads with Product B Focus",
    "description": "Increase investment and optimize Google Ads campaigns, specifically targeting campaigns that promote Product B, given its higher revenue per unit and Google's superior ROAS.",
    "pros": [
      "Leverages the most efficient advertising channel and highest revenue-generating product for immediate impact.",
      "Potentially higher profitability due to Product B's price point and Google's lower CPA.",
    ]
  }
]
```

```
"Clear, data-driven path with proven performance metrics."
],
"cons": [
  "Increases reliance on a single advertising channel, posing a risk if Google's performance declines or costs increase.",
  "Potential for diminishing returns as ad spend scales.",
  "Does not address the underperformance of Meta Ads, missing potential audience segments."
],
"data_support": "Google Ads boasts a ROAS of 2.54 and a CPA of $23.15, outperforming Meta's ROAS of 2.08 and CPA of
...
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Decision

```
{
  "recommended_option_name": "Scale High-Performing Google Ads with Product B Focus",
  "rationale": "The data clearly indicates that Google Ads is the most efficient channel for customer acquisition and revenue generation, with a ROAS of 2.54 and a CPA of $23.15, significantly outperforming Meta Ads (ROAS 2.08, CPA $25.00). Furthermore, Product B, despite selling fewer units, yields more revenue ($4340 vs $4260 for Product A), suggesting a higher average revenue per transaction and likely better profitability. Prioritizing these strengths offers the most direct and efficient path to maximize immediate revenue growth and improve overall marketing efficiency. While diversification is important long-term, current data advocates for doubling down on what's working best.",
  "notes_for_team": "Immediately increase budget allocation to Google Ads, with a strategic focus on campaigns promoting Product B. Conduct an in-depth review of Product B's Google campaigns to identify top-performing
...
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Playbook Snapshot

```
{
  "days": [
    {
      "day": 1,
      "focus": "Strategic Alignment & Budget Allocation",
      "tasks": [
        "Review current Google Ads account structure and Product B campaigns with marketing team.",
        "Increase Google Ads budget allocation by 20-30% specifically for Product B campaigns.",
        "Align with product and sales teams on key messaging for Product B's value proposition."
      ],
      "owner_role": "Head of Marketing, Strategic Business Analyst",
      "kpis": [
        "New budget allocation confirmed",

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"Team alignment meeting complete"
]
},
{
  "day": 2,
  "focus": "Google Ads Optimization - Product B Specific",
  "tasks": [
    "Identify and optimize top-performing keywords and audience segments for Product B on Google Ads.",
    "Refine ad copy and creatives for Product B campaigns to enhance relevance and call-to-action.",
    "Implement bid adjustments to aggressively target high-converting segments for
...
[truncated]
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